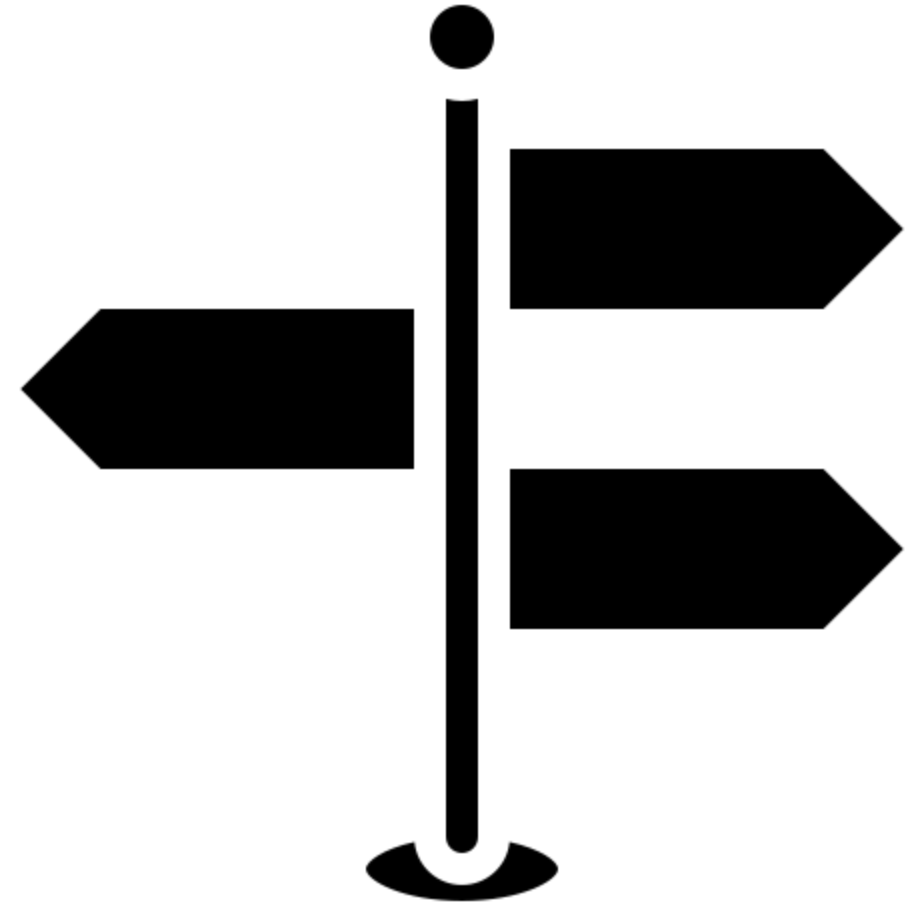


Public Cloud Services Artificial Intelligence (AI)



Learning objectives

- Students are familiar with the basics of artificial intelligence and the services offered in the cloud.
- Students understand the implications of data protection for data storage and processing with AI services.
- Students can independently create and configure AI services.



Motivation

Gemini 2.5 Flash with the prompt “Why does humanity create AI? Visualize what comes to mind in an image.” / “Warum macht die Menschheit AI. Visualisiere was dir dazu einfällt in einem Bild.”



Agenda

- AI – Artificial Intelligence Fundamentals
- Hosting AI Solutions in the Cloud
- Cost Factors of AI Solutions
- Integration into Applications using LLMs as an Example
- Use Cases and Services

AI History

- AI has been around since the 1950s.
- The first systems were If Then, Else.
- Several AI winters between steps (no more funding).
- Various focal points, e.g., pattern recognition.
- Driving factors since 2000: availability of data and increasing computing power.

~1950

Touring Test

1980

Expert Systems

1990

Machine Learning

2000

Deep Learning & Big Data

2017

Gen AI

Ranking

AI attempts to replicate human intelligence.

- ANI = Artificial Narrow Intelligence -> Trained by humans for specific tasks.
- AGI = Artificial General Intelligence -> Independently solves tasks in new contexts.
- ASI = Artificial Super AI -> Exceeds human problem-solving abilities.



Use Cases



Optical Character
Recognition oder Image
Analysis



Speech to Text



Sentiment Analysis



Support Bots

ML and AI – Technologies

Frameworks



Tensorflow



Keras

Platforms



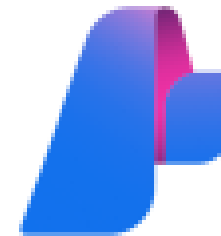
Hugging Face

Azure Services

- Machine Learning Studio
 - Focus on MLOps
 - Consolidation of IaaS and PaaS services for ML engineers and data scientists
 - E.g., managed Spark clusters or data stores such as OneLake
- AI Foundry & Azure OpenAI
 - Focus on LLMOps
 - Consolidation of primarily PaaS services for developers and data scientists
 - E.g., LLM inference endpoints



Machine Learning Studio



AI Foundry



Azure OpenAI

Azure Specialized AI Services

- APIs and or frameworks for use cases like speech to text or object recognition (i.e. PaaS)
 - Managed Spark Cluster
 - Managed Inference Endpoints
- Alternative hosting via VMs possible
 - VMs with GPU support
 - Free choice of framework and ML / LLM models

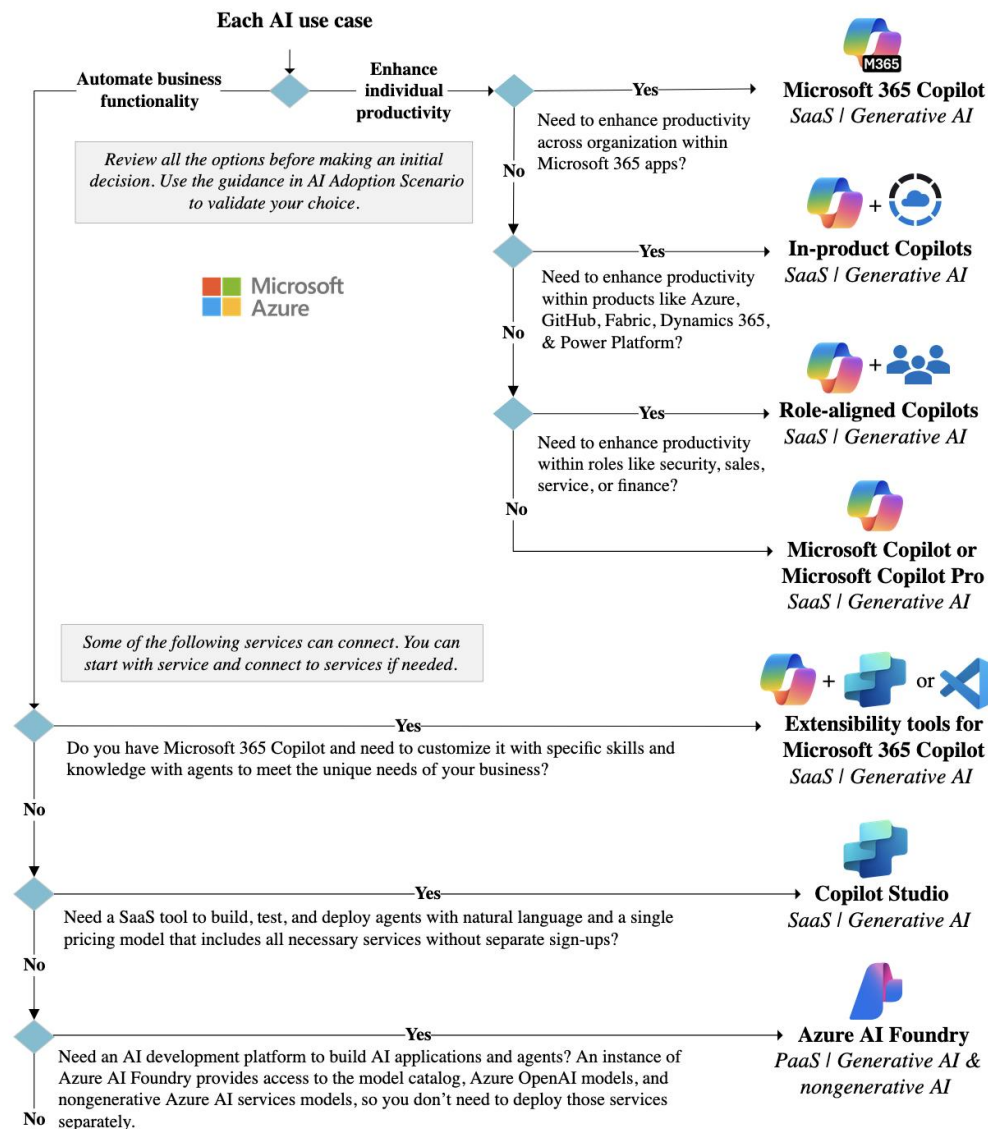
Service	Description
 Azure AI Agent Service	Combine the power of generative AI models with tools that allow agents to access and interact with real-world data sources.
 Azure AI Model Inference	Performs model inference for flagship models in the Azure AI model catalog.
 Azure AI Search	Bring AI-powered cloud search to your mobile and web apps.
 Azure OpenAI	Perform a wide variety of natural language tasks.
 Bot Service	Create bots and connect them across channels.
 Content Safety	An AI service that detects unwanted contents.
 Custom Vision	Customize image recognition for your business.
 Document Intelligence	Turn documents into intelligent data-driven solutions.
 Face	Detect and identify people and emotions in images.
 Immersive Reader	Help users read and comprehend text.
 Language	Build apps with industry-leading natural language understanding capabilities.
 Speech	Speech to text, text to speech, translation, and speaker recognition.
 Translator	Use AI-powered translation technology to translate more than 100 in-use, at-risk, and endangered languages and dialects.
 Video Indexer	Extract actionable insights from your videos.
 Vision	Analyze content in images and videos.

Hyperscaler AI Decision Tree

Microsoft Decision Tree:

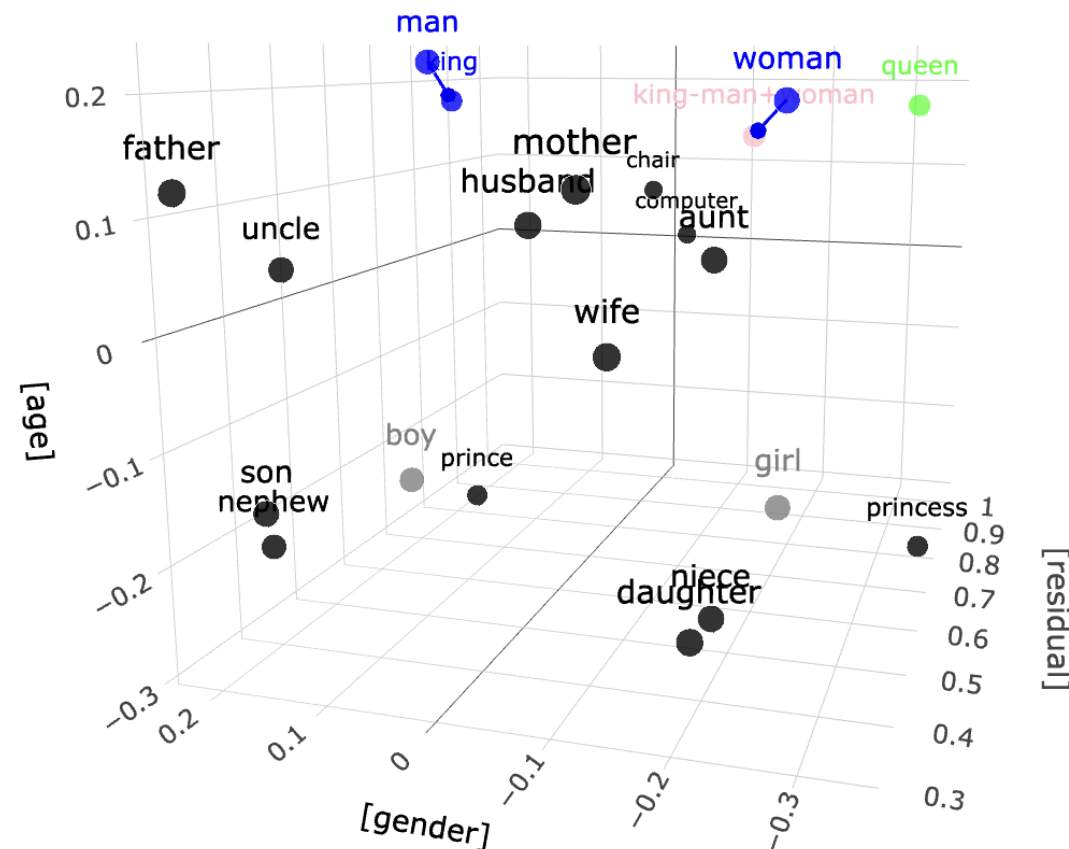
<https://learn.microsoft.com/en-us/azure/cloud-adoption-framework/scenarios/ai/strategy>

- Each hyperscaler/provider has decision trees for their AI services
- Approach: SaaS -> PaaS, depending on the use case



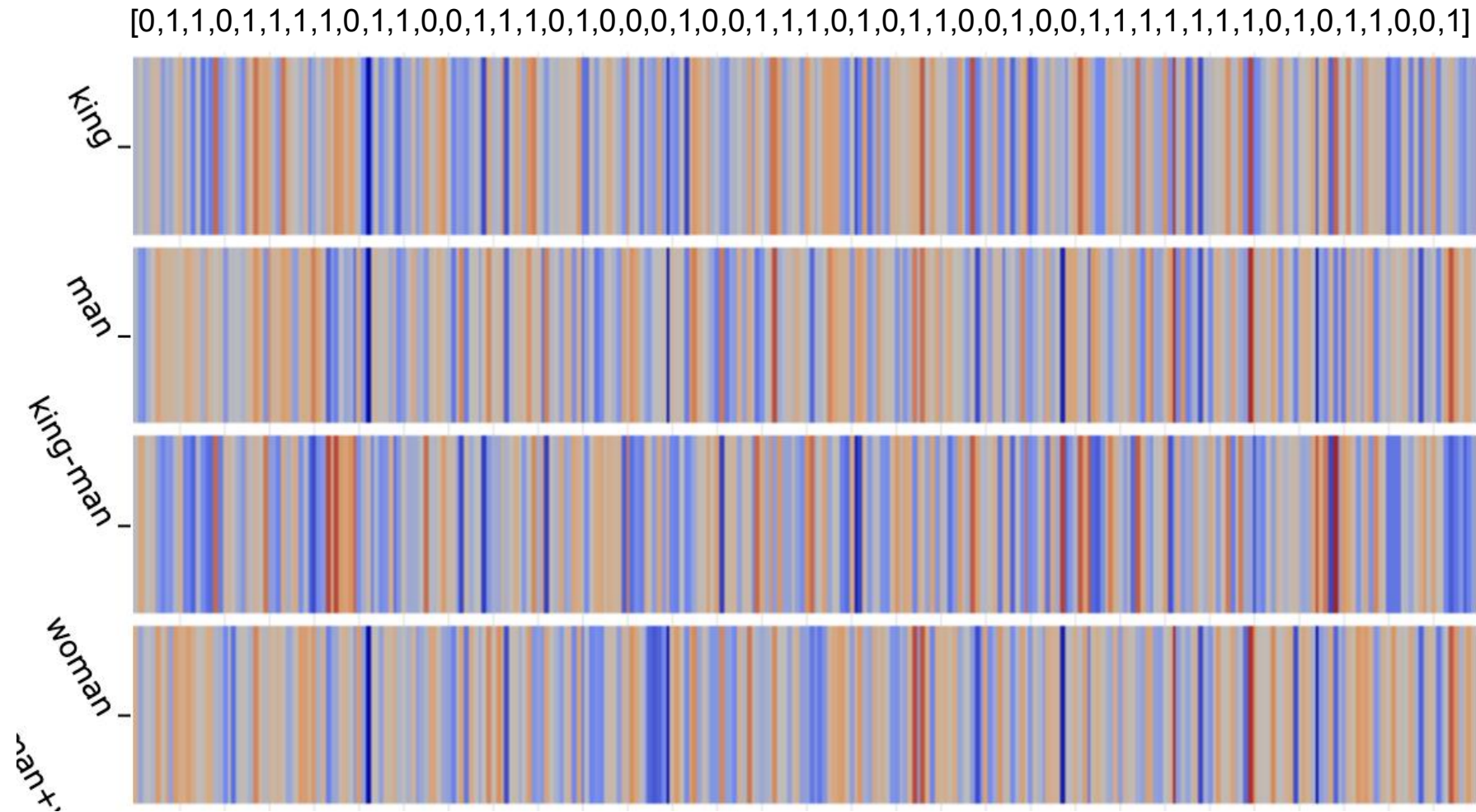
Large Language Models

- Primary use case: Generating responses to text inputs
- LLMs are deep neural networks trained on huge amounts of data, predominantly text
- Machines can only handle numbers
- Text to token and token to text translation necessary
- Key papers:
- Efficient Estimation of Word Representations in Vector Space (Google Paper)
- Attention is all you need (Google Paper)



<https://www.cs.cmu.edu/~dst/WordEmbeddingDemo/3>

Large Language Models



<https://www.cs.cmu.edu/~dst/WordEmbeddingDemo/3>

Large Language Models

king — man + woman = queen

▼ Vector analogy arithmetic

English notation						Result	
man	is to	king	as	woman	is to	queen	Submit
Vector notation						Result	
king	—	man	+	woman	=	queen	Submit

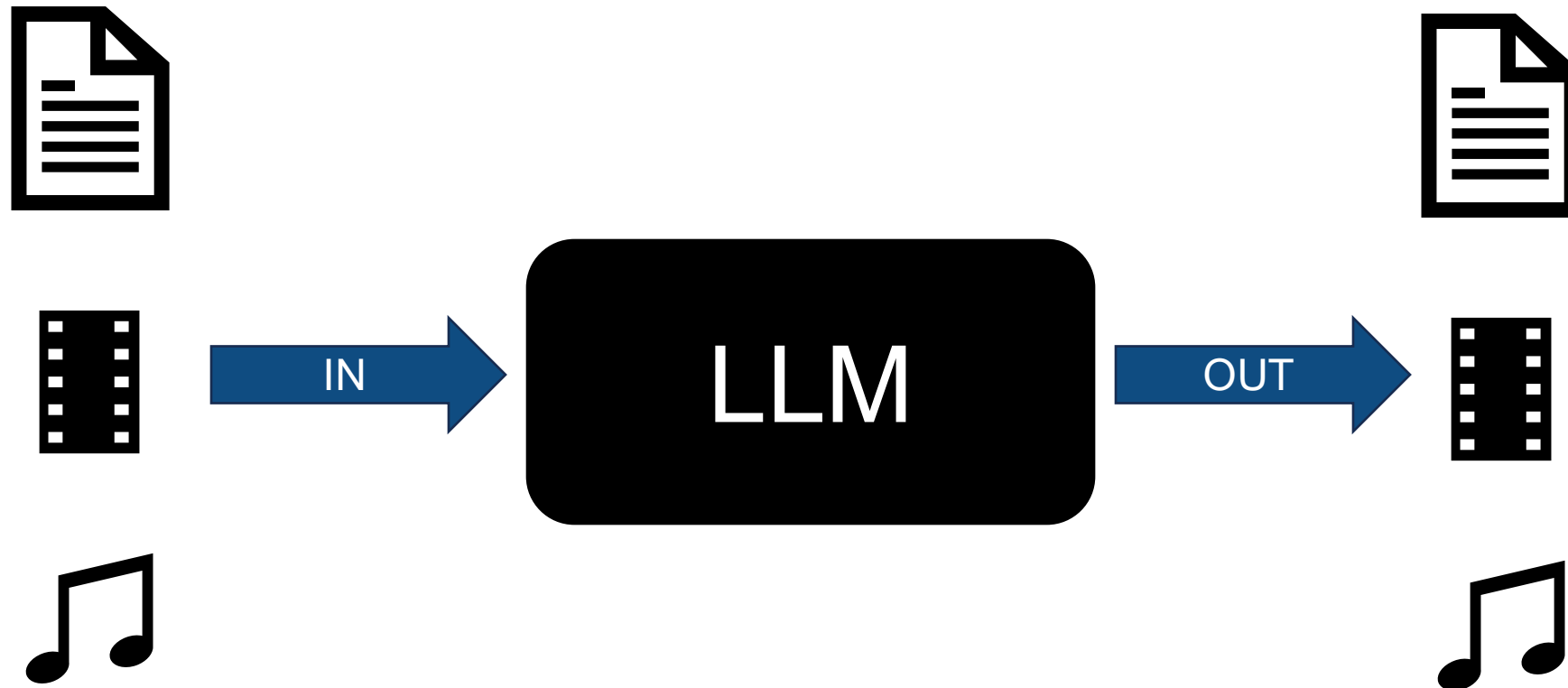
<https://www.cs.cmu.edu/~dst/WordEmbeddingDemo/3>

Context Awareness for LLMs



**Das Kleid der Frau
ist Grün**

Multi-Modality in LLMs



LLM Wording

Training

Calculation of model weights based on a data set.

Prompt

User query similar to the Google search bar, with or without instructions.

Context Window

A natural limit of a model in terms of the amount of tokens it can process.

Tokens

Representation of user inputs (e.g., prompts and messages) as a sequence of characters. Tokens are not the same as words.

Inference

Execution of a model with a prompt. Can be done on GPUs or CPUs.

RAG

Retrieval Augmented Generation: Enriching the model context with additional information from, for example, documents.

LLM Models

Open-Source Models

Public properties:

- Model Card
- Training Data
- Training Code
- Model Weights

Examples:

- Apertus
- Granite

Open-Weight Models

Public properties:

- Model Card
- Model Weights

Examples:

- Llama
- GPT OSS
- Gemma
- Weitere

Commercial Models

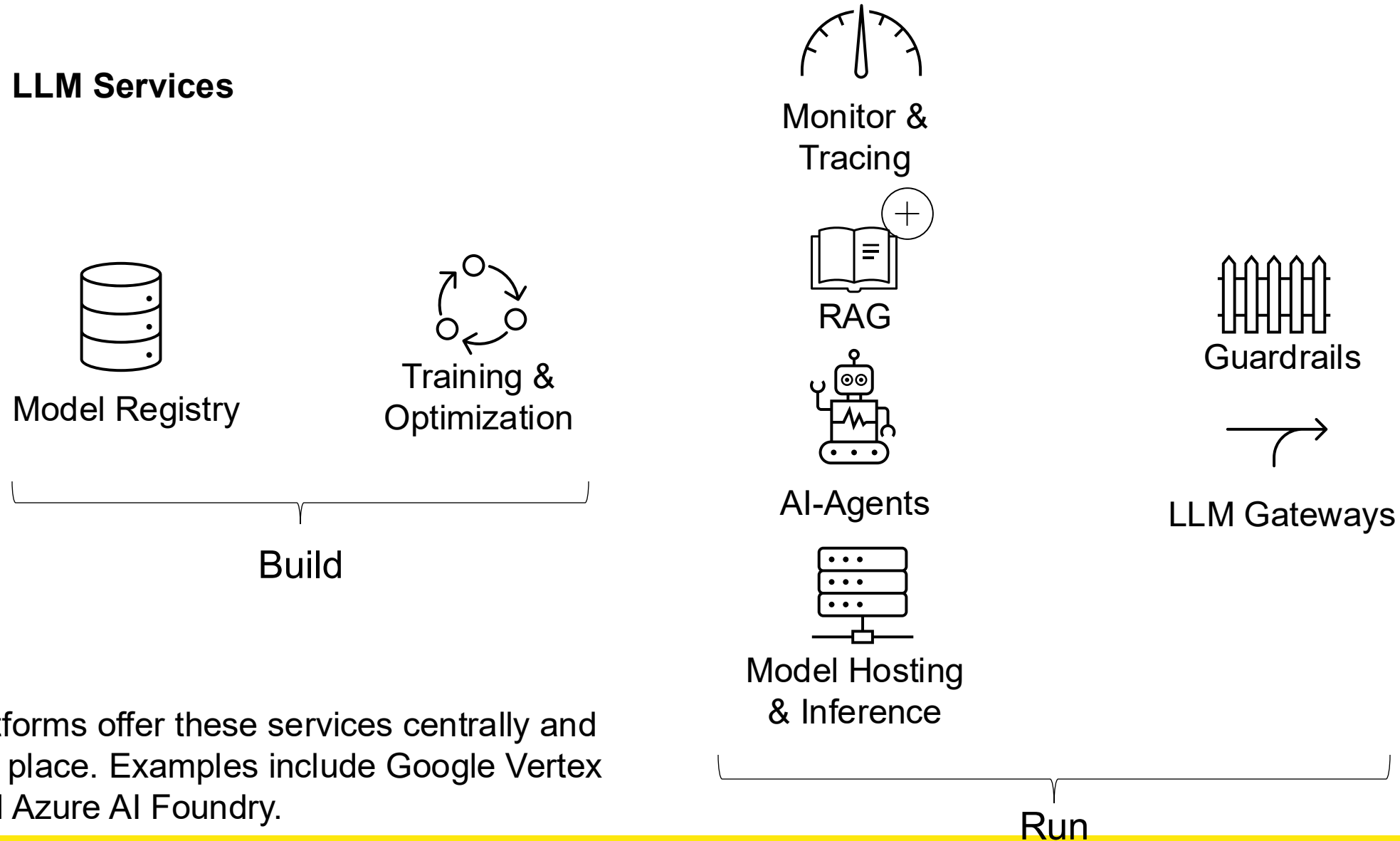
Public properties:

- Model Card

Examples:

- o3, o4 etc.
- Gemini Flash / Pro
- Claude Sonnet / Opus
- Others

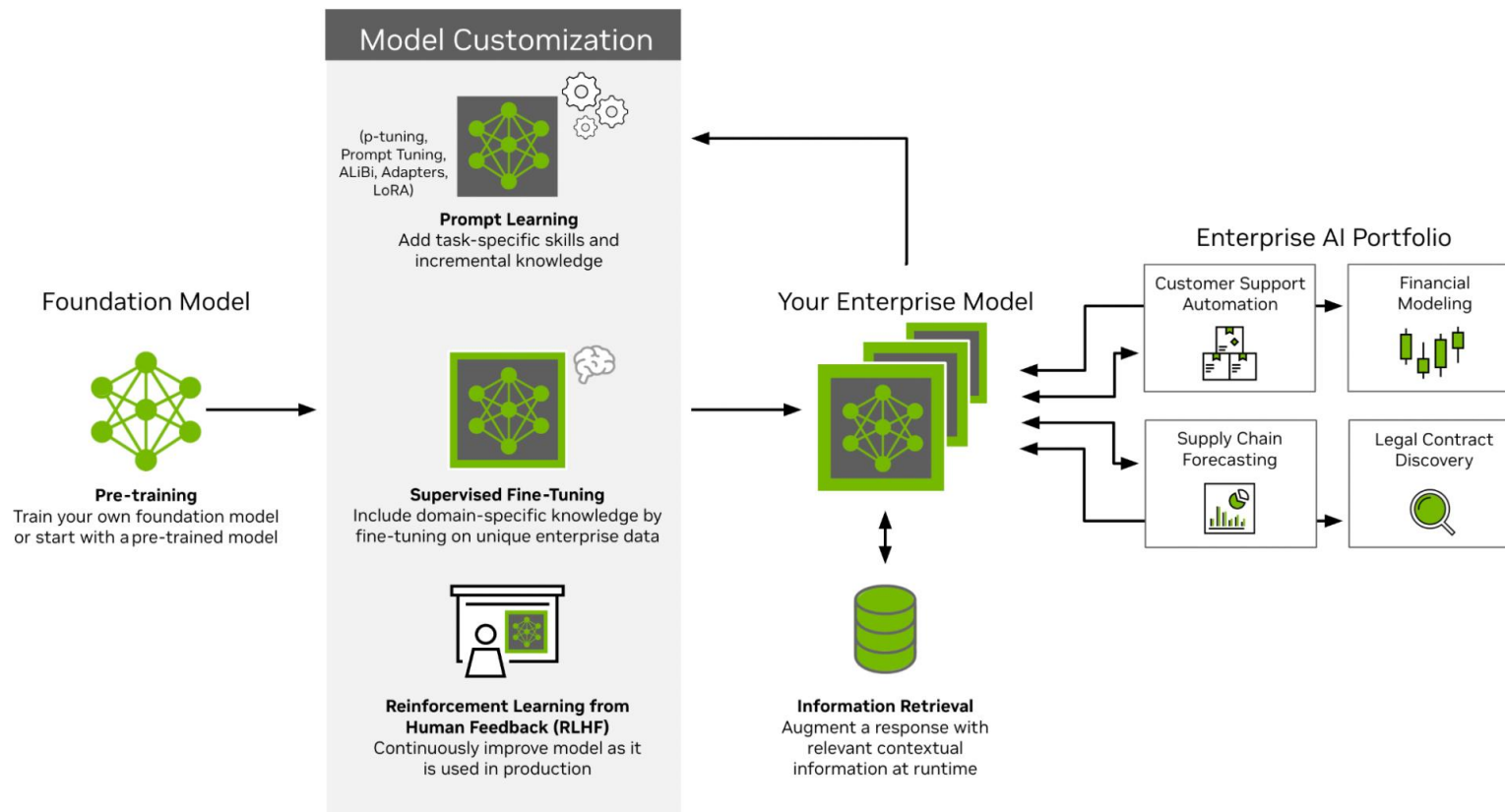
LLM Services



AI platforms offer these services centrally and in one place. Examples include Google Vertex AI and Azure AI Foundry.

LLMOps

- Similar to MLOps, but optimized for LLMs
- Foundational models are pre-trained, generic models (cost optimization, no need to train a model from scratch)
- Training the foundational model with your own data (e.g., domain-specific)



<https://developer.nvidia.com/blog/mastering-llm-techniques-llmops/>

Pricing and Cost Factors for ML Services

- Billing for machine learning compute at the IaaS level, i.e., VMs
- Optional: Additional costs for service usage
- Cost factors: Runtime of compute instances and required storage capacity for data sets

General purpose

Balanced CPU-to-memory ratio. Ideal for testing and development, small to medium databases, and low to medium traffic web servers.

D2-64 v3

Instance	vCPU(s)	RAM	Linux VM Price	Machine Learning Service Surcharge	Pay As You Go Total Price	1 year savings plan	3 year savings plan
D2 v3	2	8 GiB	CHF 70.733/month	CHF 0/month	CHF 70.733/month	CHF 53.76/month ~24% savings	CHF 38.91/month ~45% savings

<https://azure.microsoft.com/en-gb/pricing/details/machine-learning/#pricing>

Pricing and Cost Factors for AI Services

- Billing for PaaS-level services
- Throughput units or pay as you go

Azure AI Speech

Commitment Tiers – Azure - Standard

Category	Features	Price (per month)	Overage
Speech to Text	Standard	CHF 1,291.921 for 2,000 hours	CHF 0.646 per hour
		CHF 5,248.426 for 10,000 hours	CHF 0.525 per hour
		CHF 20,186.251 for 50,000 hours	CHF 0.404 per hour

GPT-4.1 series

GPT-4.1 series is a highly advanced general-purpose model with extensive world knowledge and an enhanced ability to understand user intent, making it particularly adept at creative tasks and agentic planning. The series features a 1 million token context window and has a knowledge cutoff of June 2024.

Azure OpenAI Service

Model	Pricing (1M Tokens)	Pricing with Batch API (1M Tokens)
GPT-4.1-2025-04-14 Global	Input: CHF 1.62 Cached Input: CHF 0.41 Output: CHF 6.46	Input: CHF 0.81 Output: CHF 3.23

<https://azure.microsoft.com/en-us/pricing/details/cognitive-services/openai-service/> und <https://azure.microsoft.com/en-us/pricing/details/cognitive-services/speech-services/>

Example: Calculate Cost for LLM Hosting

Comparing VM based hosting with Inference Endpoints (in Azure)

- Llama 3.3 70B Instruct model (see [Huggingface](#))
- Compare cost per 1k token per hosting option

Example: Calculate Cost for LLM Hosting – Azure AI Foundry

- Llama 3.3 70B is only available globally
- Calculation with PAYG offering
- Quantization is not known

Models	Input (Per 1,000 tokens)	Output (Per 1,000 tokens)
Llama 3.3 70B Datazone	N/A	N/A
Llama 3.3 70B Global	CHF 0.000567	CHF 0.000567
Llama 3.3 70B Regional	N/A	N/A
Llama4 Maverick 17B Datazone	N/A	N/A
Llama4 Maverick 17B Global	CHF 0.000200	CHF 0.000799
Llama4 Maverick 17B Regional	N/A	N/A

<https://azure.microsoft.com/en-us/pricing/details/ai-foundry-models/llama/>

Example: Calculate Cost for LLM Hosting – Azure VMs

- FP16 is quite high, lower quantization would increase performance but reduce accuracy

Inference

Fine-tuning

Select Model *

Llama 3.3 70B

Inference Quantization

Precision for model weights during inference. Lower uses less VRAM but may affect quality.

FP16

KV Cache Quantization

KV Cache precision. Lower values reduce VRAM, especially for long sequences.

FP16 / BF16 (Default)

Hardware Configuration

Select your GPU or set custom VRAM

A100 (40GB)

Num GPUs

Devices for parallel inference

8

Batch Size: ☐ Log Scale

Inputs processed simultaneously per step (affects throughput & latency)

1832

Sequence Length: 32'768

Max tokens per input; impacts KV cache (also affected by attention structure) & activations.

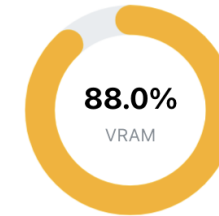
8K16K33K65K130K

Concurrent Users: ☐ Log Scale

Number of users running inference simultaneously (affects memory usage and per-user performance)

148

Performance & Memory Results



HIGH

281.63 GB

of 320 GB VRAM(8 x 40 GB GPUs)

⌚ Generation Speed: ~146 tok/sec ⓘ

(~6.8 ms/token latency)

⌚ Time to First Token: ~53.41s ⓘ

⚡ Total Throughput: ~146 tok/sec ⓘ

Profile: Optimized for Lowest Latency ⓘ

Meta Llama 3.3 70B

Weights: FP16

KV Cache: FP16

Attention Structure: GQA ⓘ

Positional Embeddings: ROPE

Mode: Inference | Batch: 1 | GPUs: 8

Example: Calculate Cost for LLM Hosting – Azure VMs

Instance	vCPU(s)	RAM	Temporary storage	GPU	Pay as you go	1 year savings plan	3 year savings plan	Spot	Add to estimate
ND96asr A100 v4	96	900 GiB	6,500 GiB	8x A100 (NVlink)	CHF 20,611.0626/month	CHF 17,142.2226/month ~16% savings	CHF 10,326.1441/month ~49% savings	CHF 4,534.4338/month ~78% savings	

- ND96asr VM SKU with 8x A100 (40GB), 320GB GPU memory in total (EU west)
- Llama 3.3 70B weights loaded via Huggingface and inference through vllm
- Not included: Network, disk and other operational costs
- Context window 32k (reduce memory usage), FP16 Quantization
- About 146 tokens per second, with Q8 ~191 tokens per second possible

<https://azure.microsoft.com/en-us/pricing/details/virtual-machines/linux/#pricing>

Example: Calculate Cost for LLM Hosting – Summary

Scenario	Description	VM 3 Year Saving Plan	Inference Endpoint (global)
Maximum token output per hour	Theoretical limit	146 tokens/sec = 525'600 tokens per hour. CHF 14.14 per hour	Virtually unlimited tokens. No cost per hour if no tokens generated (PAYG)
Cost per 1k tokens	Aligned cost per token	CHF 0.0269025875 per 1k tokens	0.000567 CHF per 1k input tokens 0.000567 CHF per 1k output tokens Blended price 0.0008505 per 1k tokens
Cost per month scenario	255'500'000 tokens required	CHF 6'873.61, but actually CHF 10'326.14	CHF 217.30

1 hour = 3600 seconds, 1 month = 730 hours, assuming 2:1 ratio (1k input tokens, 500 output tokens)

Why are LLMs so resource intense?

- Model Weights (Billions), i.e. 70B * FP16 (2 byte per parameter) = 140 GB of VRAM required only for inference
- Each input prompt requires extensive matrix calculations
 - Prefill – load prompt tokens into VRAM and calculate KV vectors
 - Decode – Generate sequentially one token at a time, leveraging the KV cache.

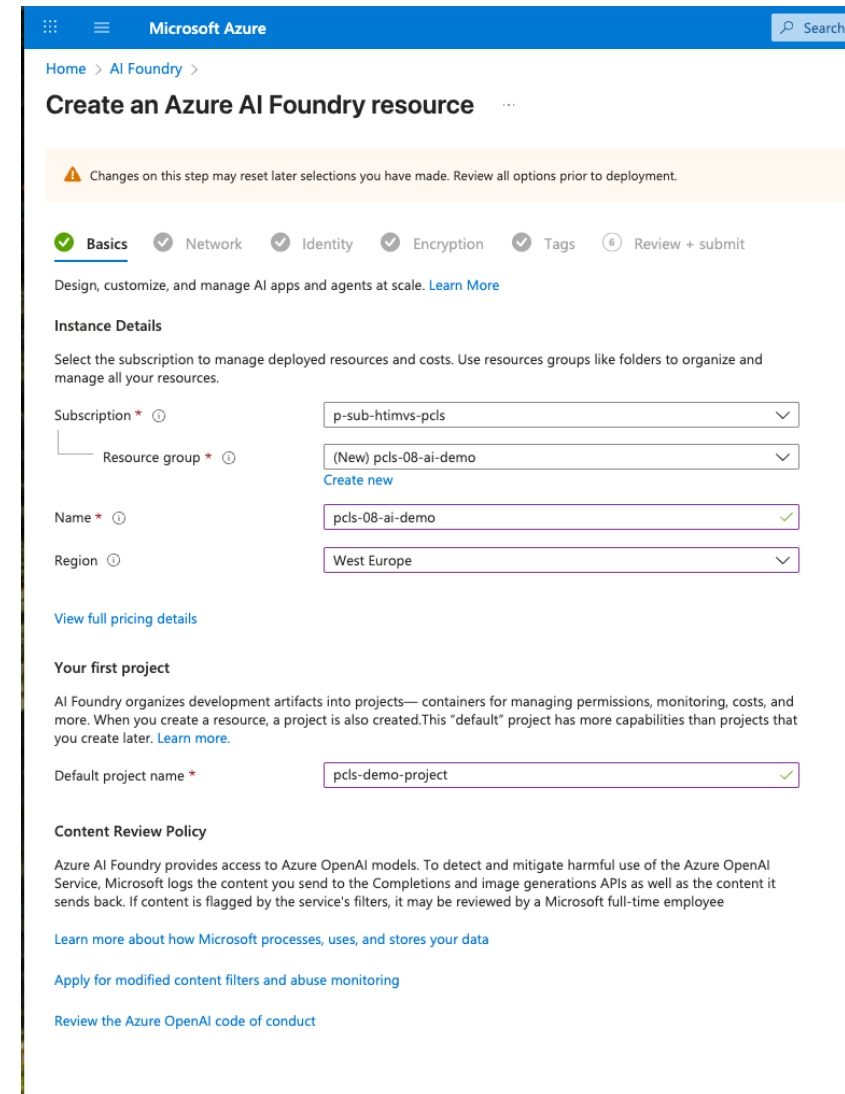
Model Name	Training Time (GPU hours)	Training Power Consumption (W)	Training Location-Based Greenhouse Gas Emissions (tons CO2eq)	Training Market-Based Greenhouse Gas Emissions (tons CO2eq)
Llama 4 Scout	5.0M	700	1,354	0
Llama 4 Maverick	2.38M	700	645	0
Total	7.38M	-	1,999	0

<https://huggingface.co/meta-llama/Llama-4-Scout-17B-16E>

Demo

Creating an OpenAI LLM endpoint

- Log in to <https://portal.azure.com>
- Navigate to your own resource group
- Create a new resource – search for Azure AI Foundry
- Create a new AI Foundry instance



Microsoft Azure

Home > AI Foundry >

Create an Azure AI Foundry resource

⚠ Changes on this step may reset later selections you have made. Review all options prior to deployment.

✓ Basics ✓ Network ✓ Identity ✓ Encryption ✓ Tags 6 Review + submit

Design, customize, and manage AI apps and agents at scale. [Learn More](#)

Instance Details

Select the subscription to manage deployed resources and costs. Use resource groups like folders to organize and manage all your resources.

Subscription * ⓘ p-sub-htimvs-pcls

Resource group * ⓘ (New) pcls-08-ai-demo
[Create new](#)

Name * ⓘ pcls-08-ai-demo ✓

Region ⓘ West Europe

[View full pricing details](#)

Your first project

AI Foundry organizes development artifacts into projects—containers for managing permissions, monitoring, costs, and more. When you create a resource, a project is also created. This "default" project has more capabilities than projects that you create later. [Learn more](#).

Default project name * pcls-demo-project ✓

Content Review Policy

Azure AI Foundry provides access to Azure OpenAI models. To detect and mitigate harmful use of the Azure OpenAI Service, Microsoft logs the content you send to the Completions and image generations APIs as well as the content it sends back. If content is flagged by the service's filters, it may be reviewed by a Microsoft full-time employee

[Learn more about how Microsoft processes, uses, and stores your data](#)

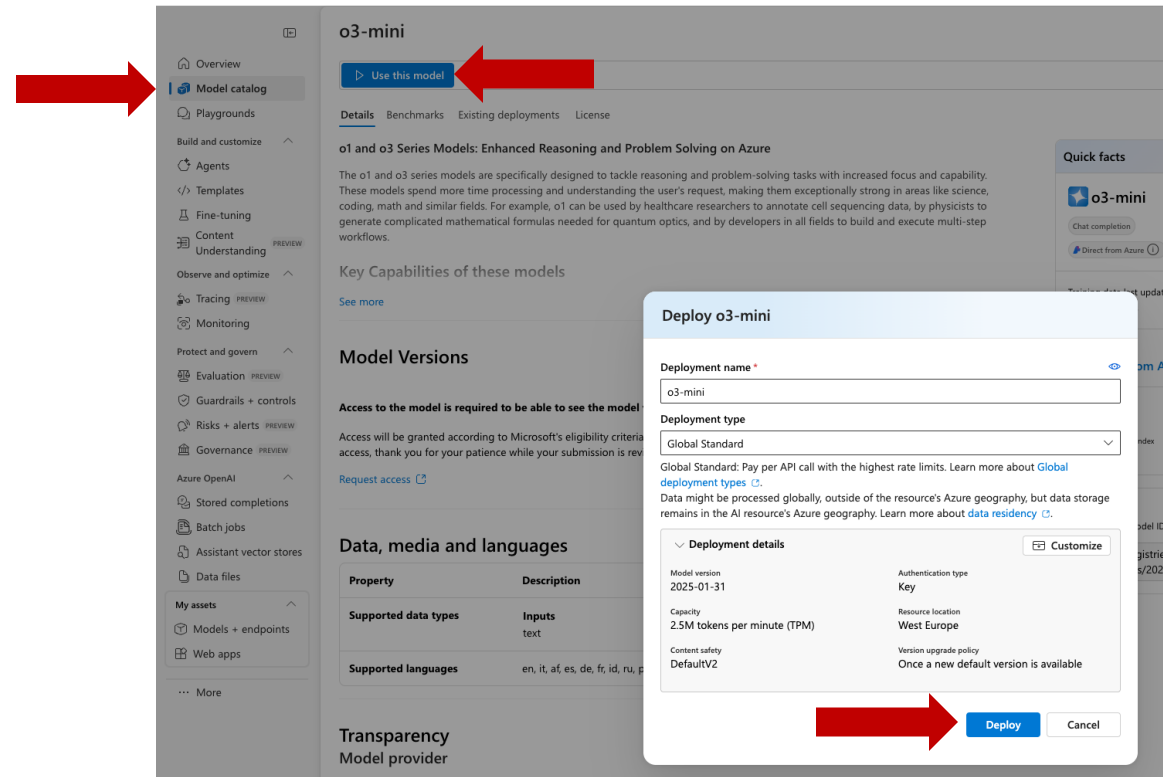
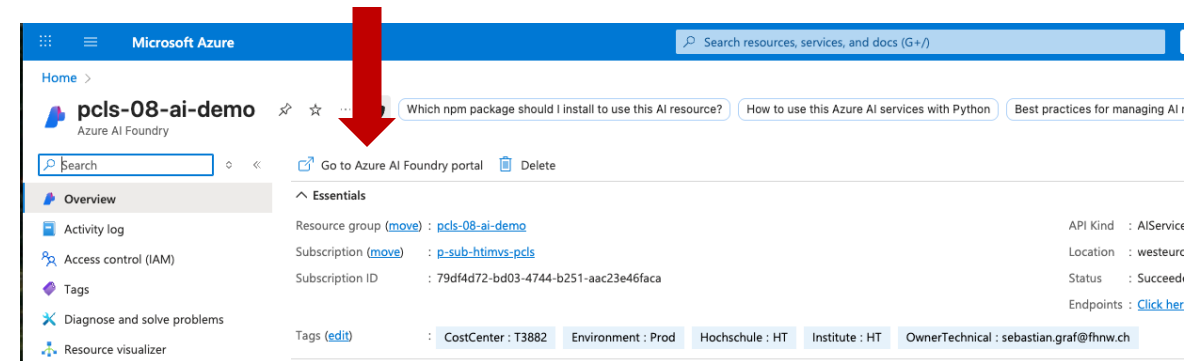
[Apply for modified content filters and abuse monitoring](#)

[Review the Azure OpenAI code of conduct](#)

Demo

Provision a model

- Navigate to the AI Foundry instance
- Model Catalog – Search for “o3-mini”
- Deploy model (Deployment type “Global Standard”)



Demo

Final Model-Deployment

- Tests via “Open in playground”
- Integration into code, see examples

The screenshot displays the Azure AI Foundry console for a deployment named 'o3-mini'. The interface includes a left-hand navigation menu with options like Overview, Model catalog, Playgrounds, and Agents. The main content area shows the deployment details for 'o3-mini', including the endpoint, key, and deployment info. The deployment info table shows the model name 'o3-mini', version '2025-01-31', and a successful provisioning state. The right-hand side of the console provides a 'Get Started' section with code snippets for authentication and a basic code sample.

Endpoint

Target URI
https://pcls-08-ai-demo.cognitiveservices.azure.com/openai...

Key
.....

Deployment info

Name o3-mini	Provisioning state Succeeded
Deployment type Global Standard	Created on 2025-08-21T14:50:37.5460659Z
Created by marc.merzinger@fhnw.ch	Modified on Aug 21, 2025 4:50 PM
Modified by marc.merzinger@fhnw.ch	Version upgrade policy Once a new default version is available
Rate limit (Tokens per minute) 2,500,000	Rate limit (Requests per minute) 250
Model name o3-mini	Model version 2025-01-31
Life cycle status GenerallyAvailable	Date created Jan 28, 2025 1:00 AM
Date updated Jan 28, 2025 1:00 AM	Model retirement date Feb 1, 2026 1:00 AM

Monitoring & safety

Content filter
DefaultV2

Language
Python

SDK
Azure OpenAI SDK

Authentication type
Key Authentication

Get Started

Below are example code snippets for a few use cases. For additional information about Azure OpenAI SDK, see full [documentation](#) and [samples](#).

1. Authentication using API Key

For OpenAI API Endpoints, deploy the Model to generate the endpoint URL and an API key to authenticate against the service. In this sample endpoint and key are strings holding the endpoint URL and the API Key.

The API endpoint URL and API key can be found on the Deployments + Endpoint page once the model is deployed.

To create a client with the OpenAI SDK using an API key, initialize the client by passing your API key to the SDK's configuration. This allows you to authenticate and interact with OpenAI's services seamlessly.

```
import os
from openai import AzureOpenAI

client = AzureOpenAI(
    api_version="2024-12-01-preview",
    azure_endpoint="https://pcls-08-ai-demo.cognitiveservices.azure.com/",
    api_key=subscription_key
)
```

2. Install dependencies

Install the Azure Open AI SDK using pip (Requires: Python >=3.8):

```
pip install openai
```

3. Run a basic code sample

This sample demonstrates a basic call to the chat completion API. The call is synchronous.

```
import os
from openai import AzureOpenAI
```

Demo WrapUp

Features of the OpenAI LLM endpoint on Azure

- Own logical endpoint
- Control over network location (e.g., in VNET) and authorization/authentication
- Shared GPU and model inference
- Inferences from multiple Azure customers run on the same GPUs (logical isolation)
- Inference takes place globally, i.e., usually where there is the least load on the servers
- Payment based on input and output tokens (regardless of how “long” the service runs)

Alternative Inference Endpoint Deployments

Dedicated Endpoints

- Dedicated model deployment in selected region
- GPUs are dedicated and not shared with other endpoints
- Full control options, but still fully managed by the provider

Self-managed

- Own hardware (purchased or leased)
- Own tech stack (e.g., Ubuntu, Docker, vllm)
- Full control and overall responsibility

Inference API Specifications

Conversation APIs for LLMs

- De facto standard “chat/completions” from OpenAI
- Some manufacturers offer their own endpoints, e.g., Anthropic with “v1/complete”
- Almost all providers support OpenAI-compatible endpoints

v1/completions

Legacy Endpoint
Text-based

v1/chat/completions

De facto standard
Supports text, images, or files
as input

v1/embeddings

Calculation of embedding
vectors of texts

v1/generations

Generation of images (text-
to-image)

Inference APIs

```
curl --request POST --url 'https://YOUR-FOUNDRY-RESOURCE-NAME.services.ai.azure.com/openai/deployments/gpt-4o/chat/completions' \
-h 'authorization: Bearer $AZURE_AI_AUTH_TOKEN' \
-h 'content-type: application/json' \
-d '{
  "messages": [
    {"role": "system",
     "content": "You are a helpful writing assistant"},
    {"role": "user",
     "content": "Write me a poem about flowers"}
  ],
  "model": "gpt-4o"
}'
```

- Completions/inference requests are sent using a POST request.
- Each message is labeled with a role (system, assistant, user).
- Messages can also contain content parts (e.g., text and files).

AI Platforms and Inference APIs

AI-Platforms

- AWS-Bedrock
- GCP Vertex AI
- Huggingface
- Swisscom AI Platform

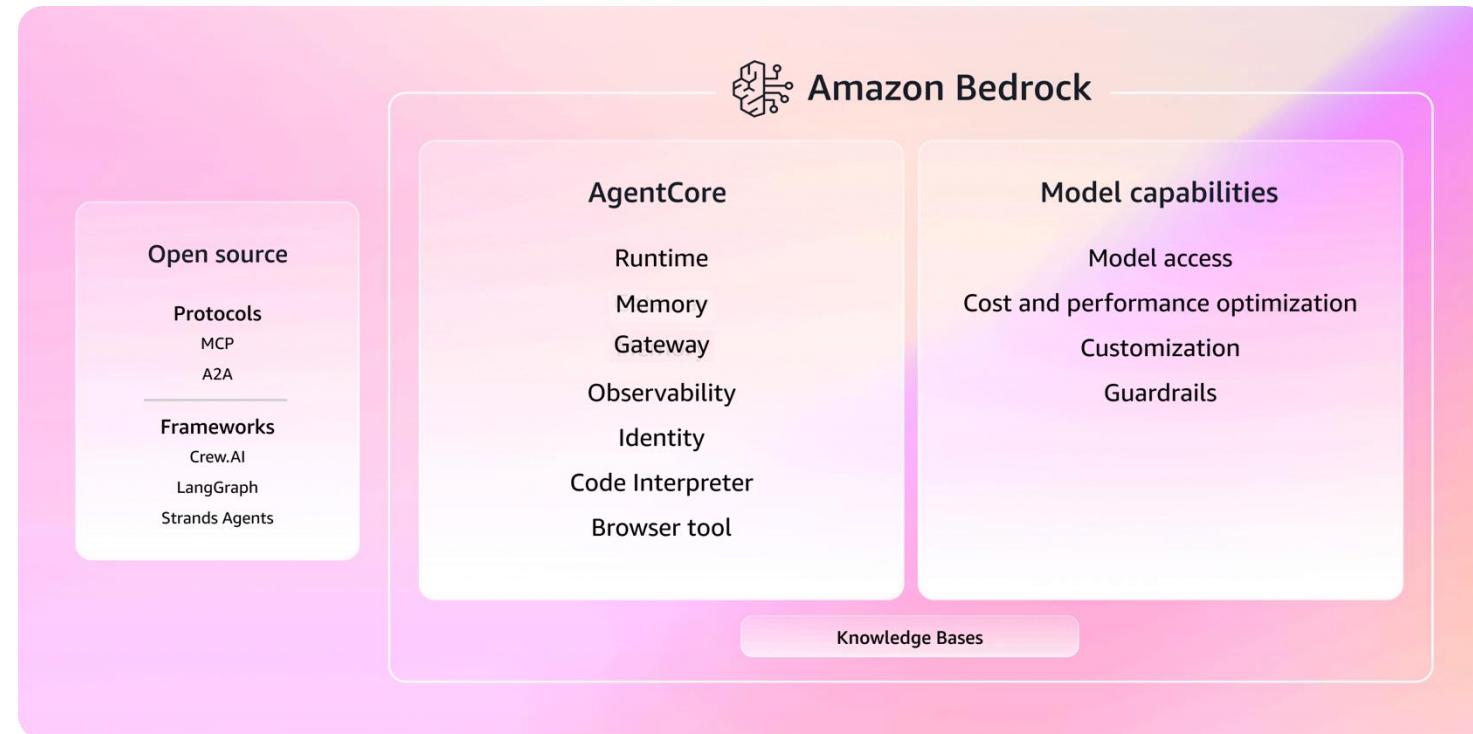
Pure Inference API providers

- OpenRouter
- Together AI

AI – Artificial Intelligence – AWS Bedrock

AI platform from AWS

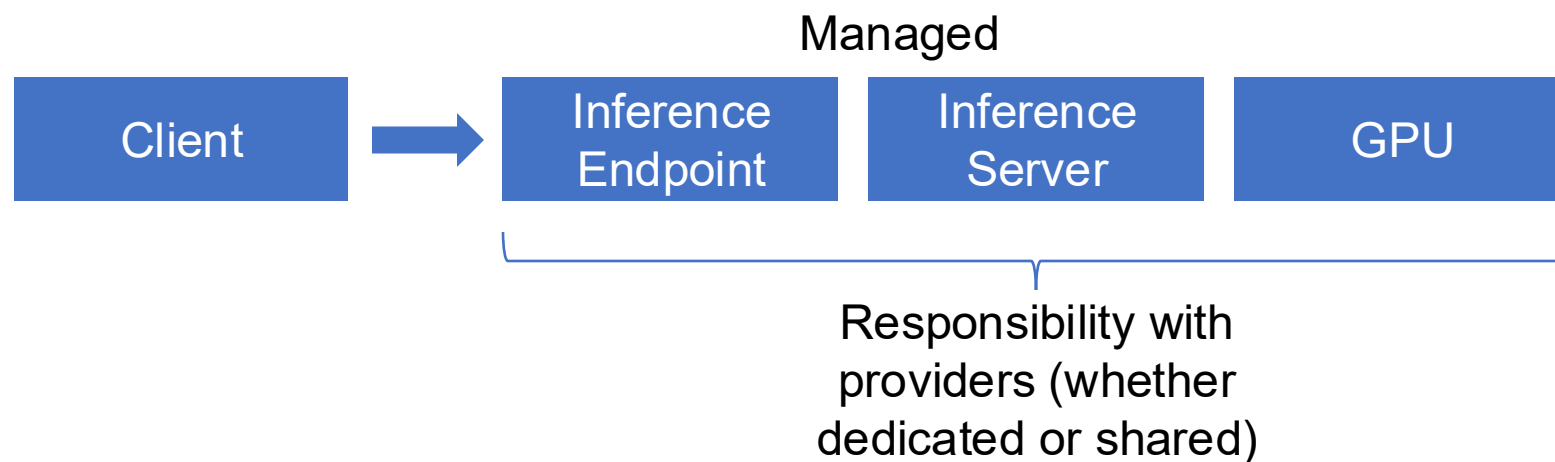
- Similar to Azure AI Foundry
- Only OpenAI OSS models, e.g., no o4-mini or similar
- Native integration into AWS services such as IAM



Data Protection and Encryption

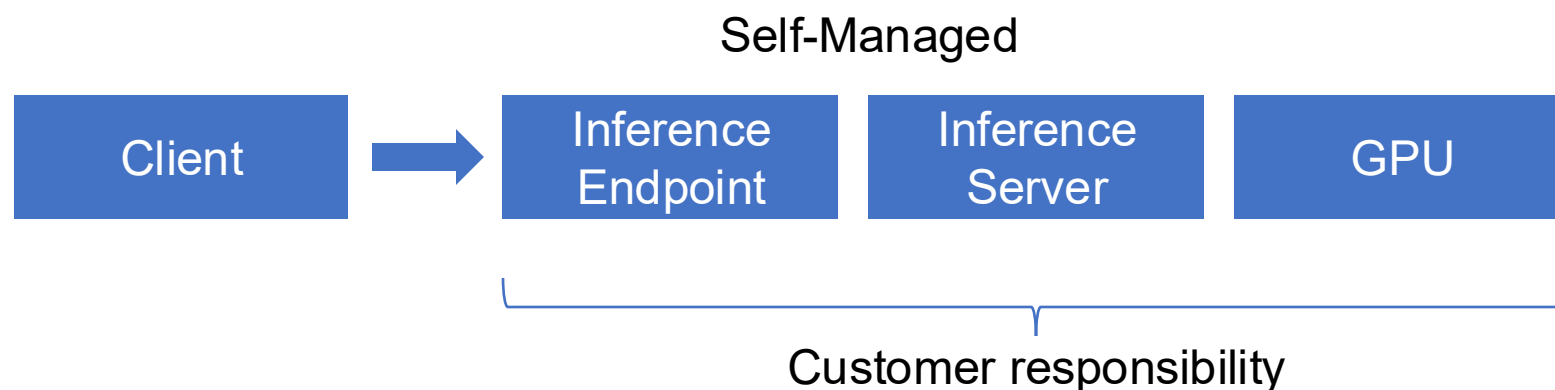
Managed LLM Inference

- Encryption of requests in transit via TLS
- Encryption up to GPU optional and dependent on service



Self-Managed LLM

- End-to-end encryption possible up to GPU
- Confidential compute possible



Data Residence

Managed

Inference:

- Choice between Global, Data Zone, and Region

Limits:

- Model availability
- Throughput limits
- Usually shared infrastructure

Self-Managed

Inference:

- Self-managed deployments in regions or your own data center

Limits:

- Self-managed deployments in regions or your own data center

Data Retention and Training Usage – Example Open AI

Open AI vs New York Times

Update on October 22, 2025:

After months of litigation, we are no longer under a legal order to retain consumer ChatGPT and API content indefinitely. Our obligations under the earlier order ended on September 26, 2025.

We've returned to our standard data retention practices:

- **Deleted ChatGPT conversations** and **Temporary Chats** will be automatically deleted from our systems within 30 days.
- **API data** will also be automatically deleted after 30 days.

<https://openai.com/index/response-to-nyt-data-demands/>

Open AI User Data Training

Services for individuals, such as ChatGPT, Codex, and Sora

When you use our services for individuals such as ChatGPT, Codex, and Sora, we may use your content to train our models.

You can opt out of training through our [privacy portal](#) by clicking on “do not train on my content.” To turn off training for your ChatGPT conversations and Codex tasks, follow the instructions in our [Data Controls FAQ](#). Once you opt out, new conversations will not be used to train our models.

Explicit Opt-Out needed!

<https://help.openai.com/en/articles/5722486-how-your-data-is-used-to-improve-model-performance>

Data Protection – Guardrails and Content-Filter

Guardrails

- Threshold values for offensive language or topics
 - Avoiding inappropriate responses
 - Avoiding aiding and abetting unacceptable behavior
- Resistance to prompt injection or similar
 - Protection of system instructions

Categories

- Hate und Fairness
- Sexual
- Violence
- Self-Harm

<https://learn.microsoft.com/en-us/python/api/overview/azure/ai-contentssafety-readme?view=azure-python>

Data Protection – Guardrails and Content-Filter

```
import os
from azure.ai.contentsafety import ContentSafetyClient
from azure.ai.contentsafety.models import TextCategory
from azure.core.credentials import AzureKeyCredential
from azure.core.exceptions import HttpResponseError
from azure.ai.contentsafety.models import AnalyzeTextOptions
```

```
key = os.environ["CONTENT_SAFETY_KEY"]
endpoint = os.environ["CONTENT_SAFETY_ENDPOINT"]
```

```
# Create a Content Safety client
client = ContentSafetyClient(endpoint, AzureKeyCredential(key))
```

```
# Construct a request
request = AnalyzeTextOptions(text="You are an idiot")
```

```
# Analyze text
try:
    response = client.analyze_text(request)
except HttpResponseError as e:
    print("Analyze text failed.")
    if e.error:
        print(f"Error code: {e.error.code}")
        print(f"Error message: {e.error.message}")
        raise
    print(e)
    raise
```

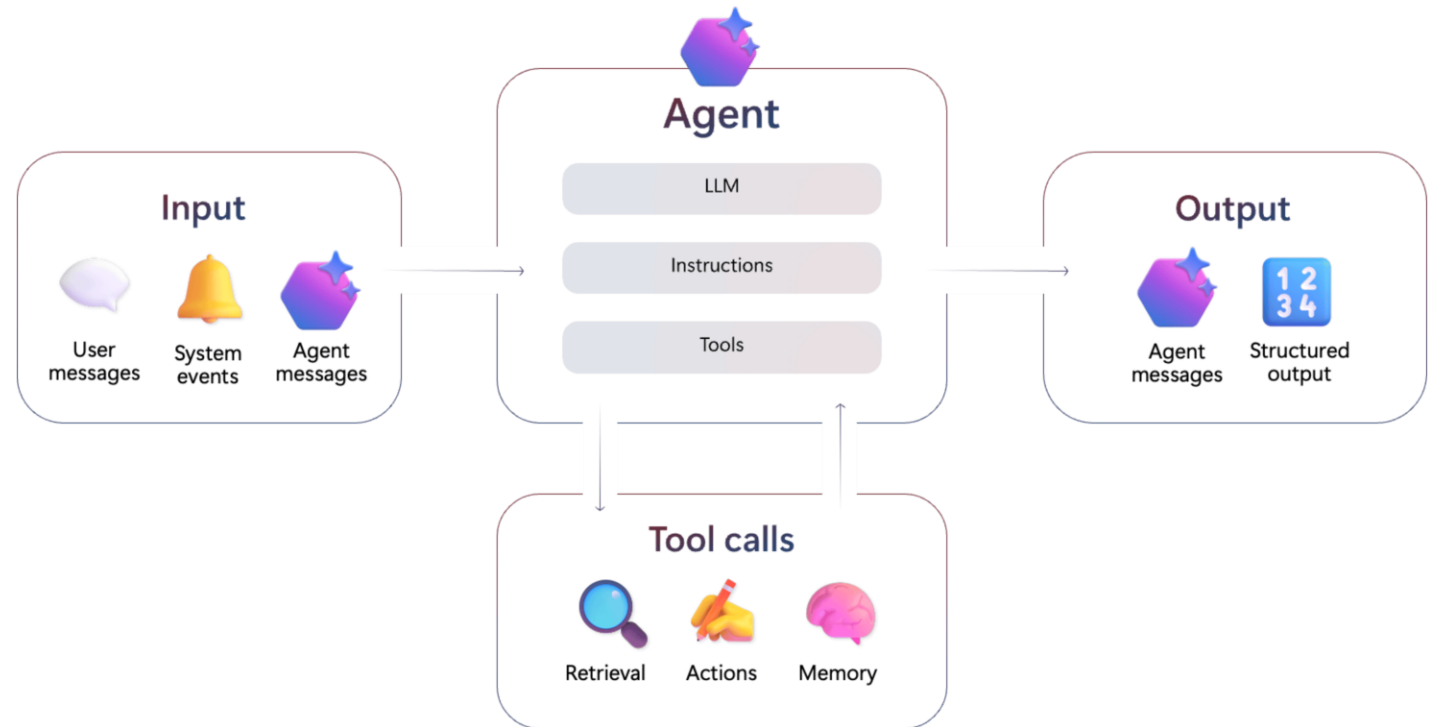
```
hate_result = next(item for item in response.categories_analysis if item.category == TextCategory.HATE)
self_harm_result = next(item for item in response.categories_analysis if item.category == TextCategory.SELF_HARM)
sexual_result = next(item for item in response.categories_analysis if item.category == TextCategory.SEXUAL)
violence_result = next(item for item in response.categories_analysis if item.category == TextCategory.VIOLENCE)
```

```
if hate_result:
    print(f"Hate severity: {hate_result.severity}")
if self_harm_result:
    print(f"SelfHarm severity: {self_harm_result.severity}")
if sexual_result:
    print(f"Sexual severity: {sexual_result.severity}")
if violence_result:
    print(f"Violence severity: {violence_result.severity}")
```

<https://learn.microsoft.com/en-us/python/api/overview/azure/ai-contentsafety-readme?view=azure-python#analyze-text-without-blocklists>

AI-Agents

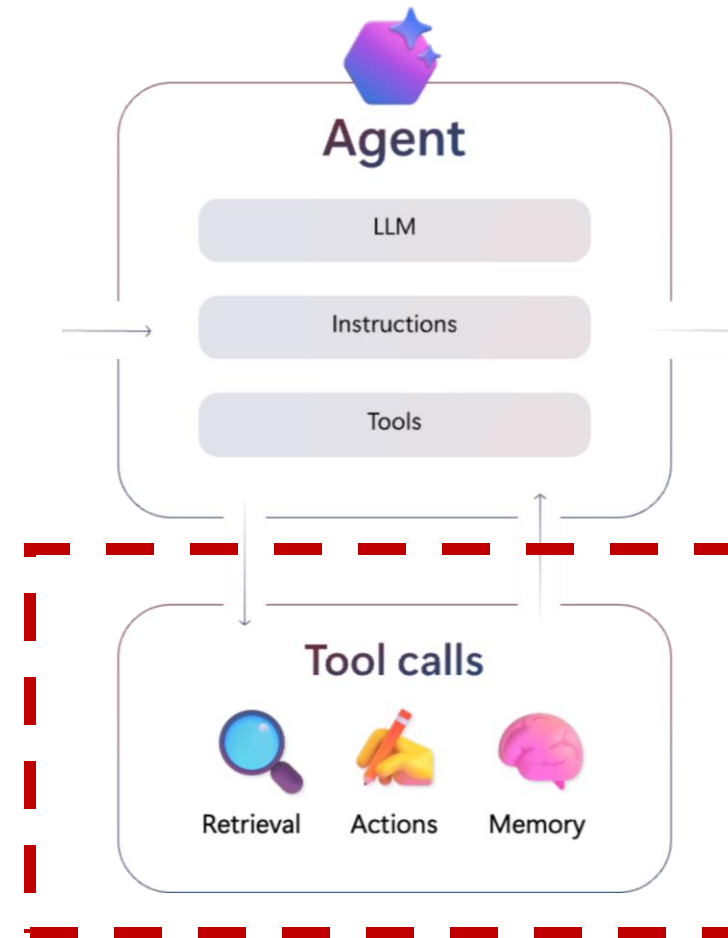
- AI agents are wrappers around LLMs
- More context and integration possible through APIs
- Model Context Protocol (MCP) Protocol for standardizing LLM to tool communication
- Agent to Agent (A2A) Protocol in development



<https://learn.microsoft.com/en-us/azure/ai-foundry/agents/overview>

Agents Toolcalling

- Tools include Rest APIs or MCP servers, for example.
- LLM recognizes the need for a tool based on input and outputs the response using a special format.
- The agent executes the tool and sends a new prompt (with tool results and original user prompt) to the LLM. The answer is then returned to the user.



Agent Toolcalling

System Prompt:

You are a helpful assistant who can always tell the user the current time. No matter what the user wants, always tell them the current time. Use the `get_time` tool to find out the time.

Available tools:

`get_time`: Retrieves the current time.

Agent

System Prompt +
Tool Definition

+

User Prompt

LLM
-Call

Response: Call Tool

Exec `get_time`

System Prompt +
Tool Definition

+

User Prompt

+

Tool Result

LLM
-Call

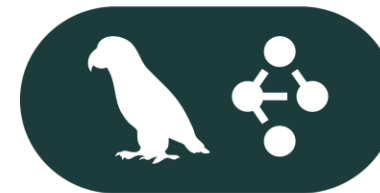
Agent Response

Agent Frameworks

- Agent frameworks offer
 - Standardized interfaces for interacting with LLMs (interchangeability)
 - Wrappers and structures for (automated) tool calls
 - Integrations with other standards such as OpenTelemetry
 - Standard patterns such as workflow agents
- Python is the most popular programming language for agents



Autogen



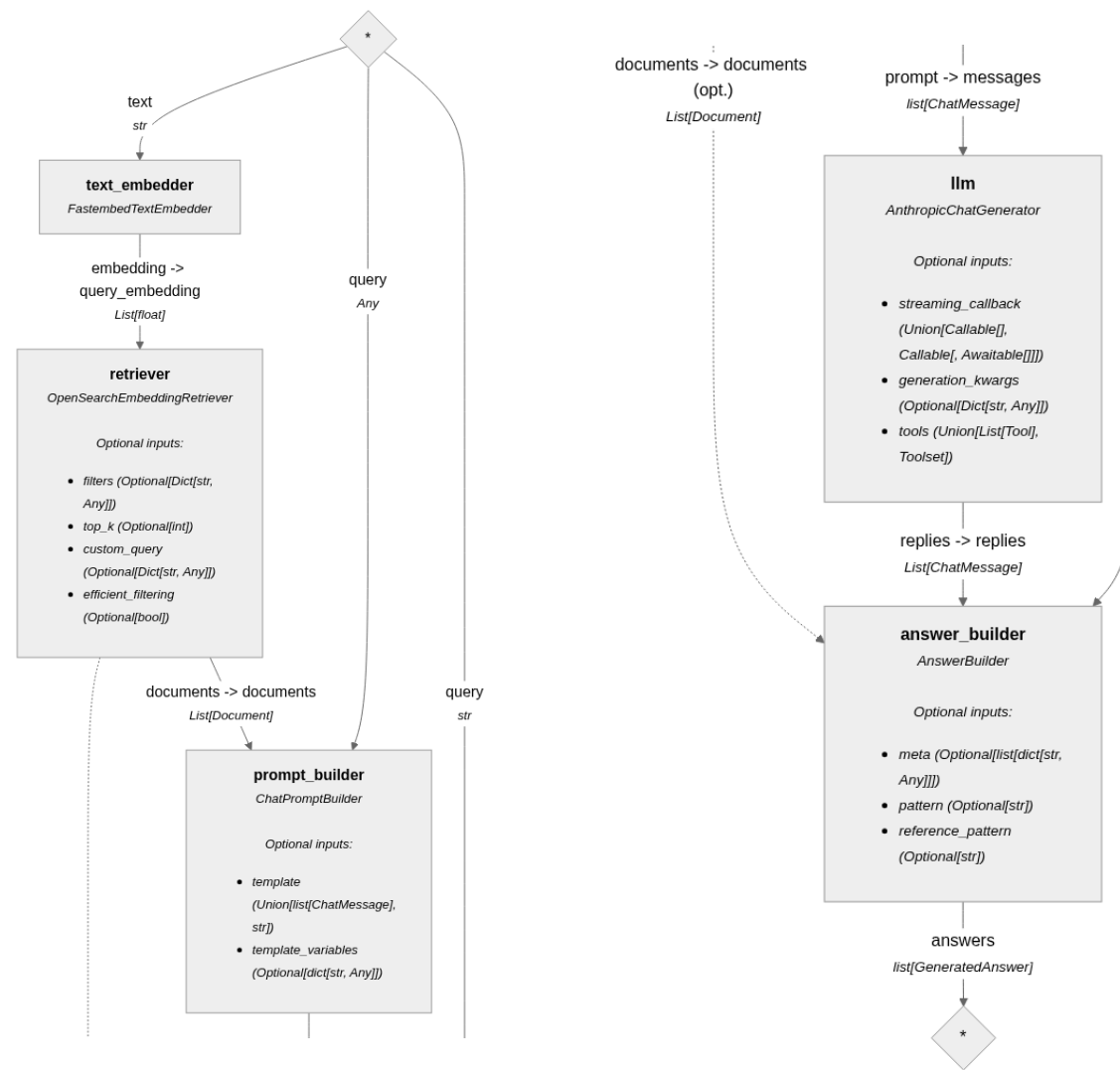
Langchain



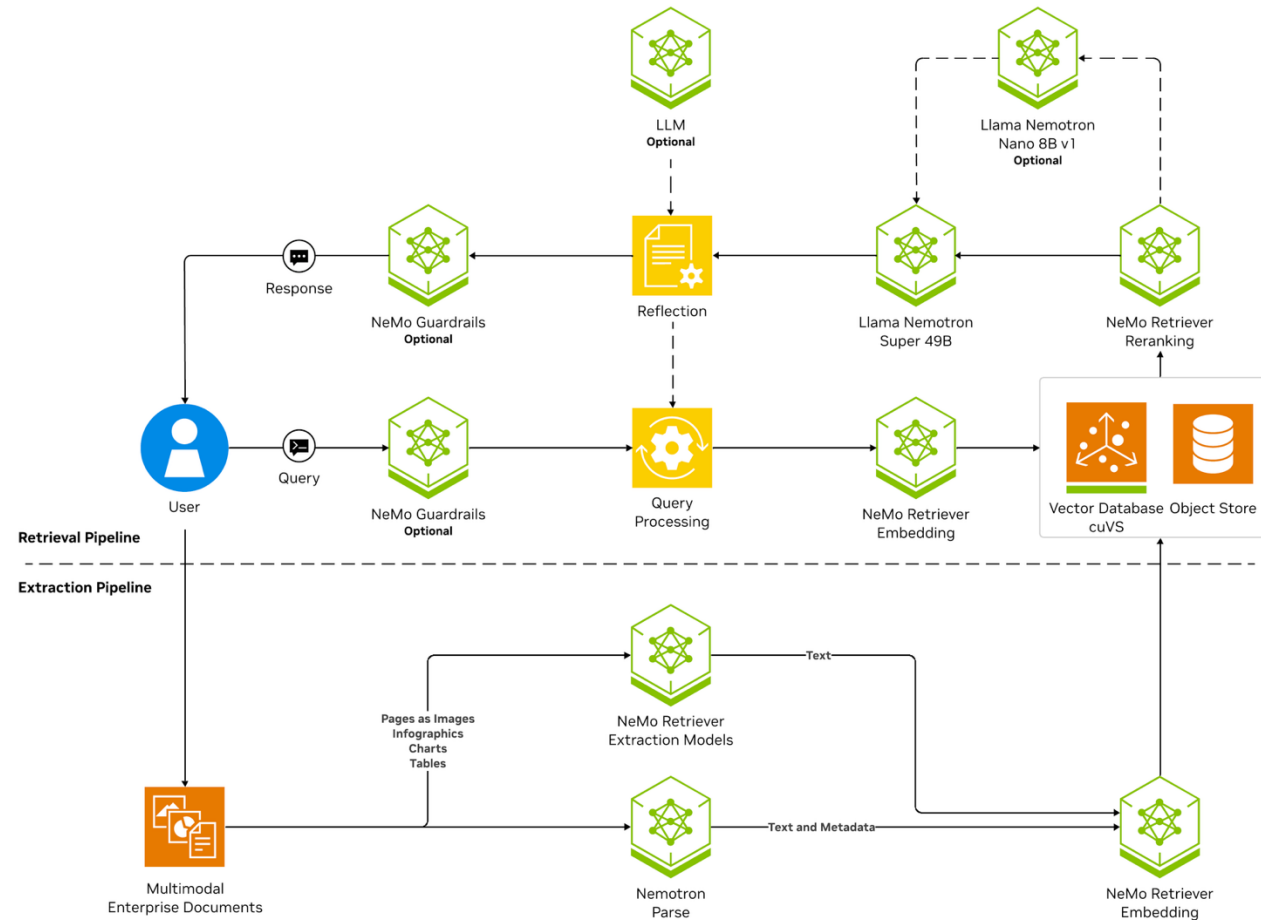
Google ADK

AI Search / RAG

- Search service for your own data
- Indexing and sharding are performed via the service and exposed as an API for use by your own application
- Option to restrict permissions on documents
- RAG is one of several supported use cases of AI Search



RAG Reference Architecture



<https://www.nvidia.com/en-us/glossary/retrieval-augmented-generation/>

Why RAG is needed

- LLMs memorized their training data, but are not aware of company internal data
- Prompts are limited by the Context Window size (i.e. 128k tokens) – which fits only a few documents
- The longer the context the lower the accuracy gets
- Fine-tuning is resource and know-how intensive
- Fine-tuning does not allow the enforcement of RBAC or other access restrictions

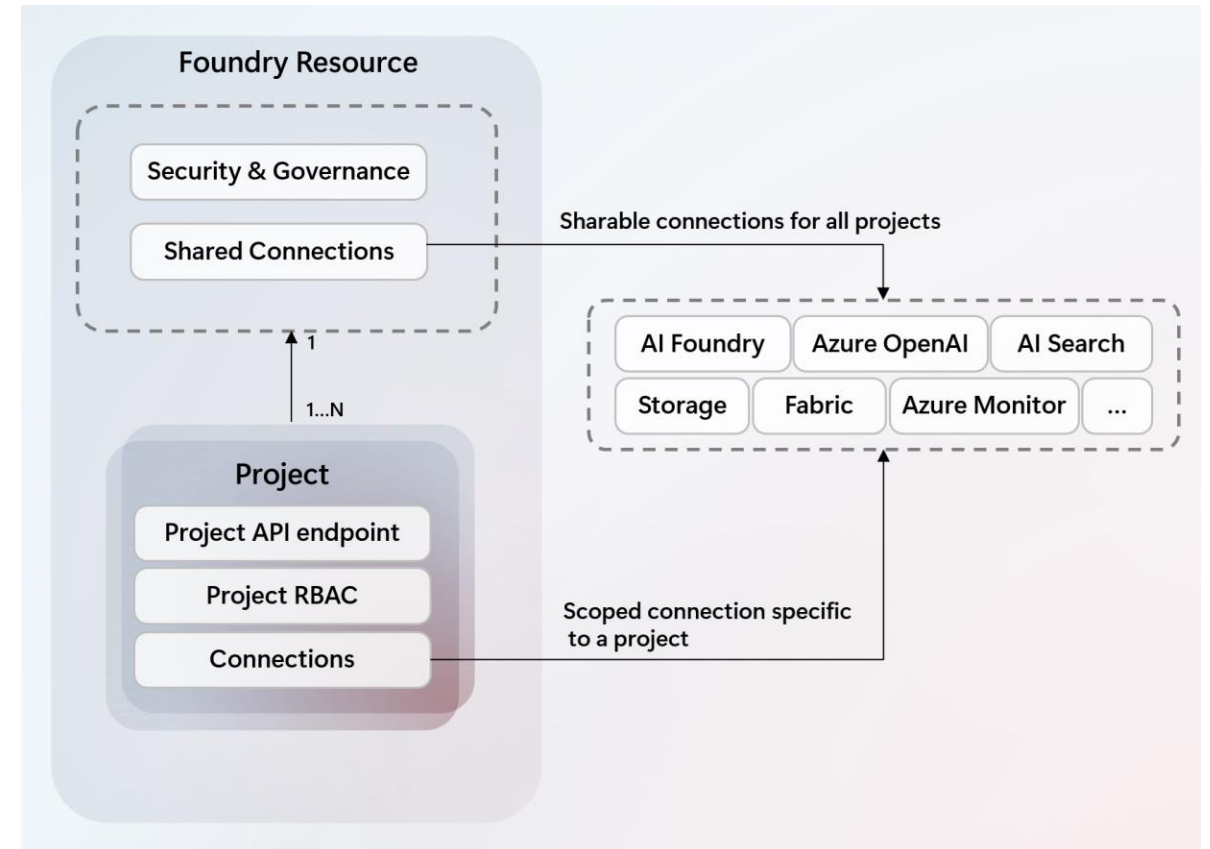
Model Name	Acc avg	4k	8k	16k	32k	64k	96k	128k	19
Qwen3-30B-A3B-Instruct-2507	86.8	98.0	96.7	96.9	97.2	93.4	91.0	89.1	89
Qwen3-235B-A22B-Instruct-2507	92.5	98.5	97.6	96.9	97.3	95.8	94.9	93.9	94
Qwen3-Next-80B-A3B-Instruct	91.8	98.5	99.0	98.0	98.7	97.6	95.0	96.0	94

<https://huggingface.co/Qwen/Qwen3-Next-80B-A3B-Instruct>

Qwen3 accuracy reduction with larger context sizes

Infrastructure as Code for Azure AI Foundry

- The resources of the AI Foundry are provided by the resource provider Microsoft.CognitiveServices
- Central structural element “project” for endpoints, permissions, etc., so that multiple people can work on the same resource



Infrastructure as Code for Azure AI Foundry

- Bicep example of an Azure AI Foundry resource (aka Microsoft.CognitiveServices/account)
- SKU: Determines which types are supported in this account. For example, S0 supports AIServices, ContentSafety, or FormRecognizer (and others).
- Kind: One of the types supported by the SKU, such as AIServices.

```
resource aiFoundry 'Microsoft.CognitiveServices/accounts@2025-04-01-preview' = {  
  name: aiFoundryName  
  location: location  
  identity: {  
    type: 'SystemAssigned'  
  }  
  sku: {  
    name: 'S0'  
  }  
  kind: 'AIServices'  
  properties: {  
    // required to work in AI Foundry  
    allowProjectManagement: true  
  
    // Defines developer API endpoint subdomain  
    customSubDomainName: aiFoundryName  
  
    disableLocalAuth: true  
  }  
}
```

<https://github.com/azure-ai-foundry/foundry-samples/blob/main/samples/microsoft/infrastructure-setup/00-basic/main.bicep>

Infrastructure as Code for Azure AI Foundry

- Bicep example of a model deployment (aka Microsoft.CognitiveServices/accounts/deployment)
- Sku: Determines the capacity and location of the model deployment
- Properties: Specifies the model

```
resource modelDeployment 'Microsoft.CognitiveServices/accounts/deployments@2024-10-01' = {  
  parent: aiFoundry  
  name: 'gpt-4o'  
  sku : {  
    capacity: 1  
    name: 'GlobalStandard'  
  }  
  properties: {  
    model:{  
      name: 'gpt-4o'  
      format: 'OpenAI'  
    }  
  }  
}
```

<https://github.com/azure-ai-foundry/foundry-samples/blob/main/samples/microsoft/infrastructure-setup/00-basic/main.bicep>

Summary

- Cloud providers' AI services cover the entire lifecycle from ML to AI (agent) use cases
- Large commercial large language models have limited availability in the clouds (regions, model selection, capacities)
- LLM training and inference are resource-intensive
- AI agents use LLMs as a decision-making component to execute actions (e.g., Google search or document upload)



Homework

- Review the material from this lesson.
- Complete [Assignment 08](#).
- Create and deploy your own AI service instances with the following learning paths (if needed):
 - [Introduction to AI in Azure \(Learning Path\)](#) (quite a lot of content)
 - [Generative AI Modul](#)

